



JAXOPAY AML/CFT/CPF POLICY

Anti-Money Laundering, Countering the Financing of Terrorism, and Countering Proliferation Financing Policy

1. Introduction

Jaxopay is a financial technology organization providing **international cross-border payment solutions and cryptocurrency exchange services**.

The Company recognizes that financial systems—particularly digital payments and crypto assets—may be vulnerable to misuse for **money laundering (ML), terrorist financing (TF), and proliferation financing (PF)**.

At JAXOPAY, we operate a zero-tolerance policy toward money laundering, terrorism financing, fraud, bribery, and any form of financial crime. And we are committed to maintaining the highest standards of compliance by aligning with global best practices and applicable regulatory frameworks to ensure our platform is secure, transparent, and trusted for cross-border payments and cryptocurrency exchange.

2. Purpose

This Policy aims to:

- Establish a **risk-based AML/CFT/CPF framework**
 - Ensure compliance with **applicable laws and regulatory obligations**
 - Detect, prevent, and report suspicious activities
 - Promote **transparency, integrity, and accountability**
 - Protect Jaxopay's platform, customers, and reputation
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3. Scope

This Policy applies to:

- All customers (individuals and corporate entities)
- All employees, management, and directors
- Contractors, agents, partners, and third-party service providers
- All products and services, including:
 - Cross-border payments
 - Crypto exchange and wallet services
 - Payment processing infrastructure

4. Regulatory Framework

Jaxopay operates in compliance with:

- Money Laundering (Prevention and Prohibition) Act, 2022
 - Terrorism (Prevention and Prohibition) Act, 2022
 - CBN AML/CFT/CPF Regulations, 2022
 - CBN Customer Due Diligence Regulations, 2023
 - Nigerian Financial Intelligence Unit (NFIU) Guidelines
 - Nigerian Data Protection Act, 2023
 - FATF 40 Recommendations
 - OFAC, UN, and EU Sanctions Regimes
 - Applicable international crypto compliance standards (e.g., Travel Rule)
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5. Governance Structure

5.1 Board of Directors

- Provides oversight and approves AML/CFT/CPF policy
- Reviews compliance reports and risk exposure

5.2 Management

- Ensures implementation of controls and adequate resourcing

5.3 Compliance Officer (MLRO)

- Acts as Money Laundering Reporting Officer
- Handles investigations, regulatory reporting, and escalation
- Liaises with regulators and law enforcement

5.4 Independent Audit

- Conducted annually to assess effectiveness of controls and compliance
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6. Risk-Based Approach (RBA)

Jaxopay adopts a **risk-based approach** to identify, assess, and mitigate risks.

Risk Categories

- **Customer Risk** – occupation, source of funds, profile
- **Geographical Risk** – high-risk or sanctioned jurisdictions
- **Product Risk** – crypto, cross-border flows, speed of transactions
- **Channel Risk** – non-face-to-face onboarding

Risk Levels

Customers are classified as:

- Low Risk
- Medium Risk
- High Risk

Controls are applied proportionately, including transaction limits, enhanced monitoring, and due diligence.

7. Customer Due Diligence (CDD)

7.1 General Requirements

Jaxopay conducts identity verification before establishing relationships.

7.2 Individual Customers

- Government-issued ID (passport, NIN, driver's licence)
- BVN/NIN verification
- Proof of address
- Biometric or facial verification

7.3 Corporate Customers

- CAC registration documents
- Tax Identification Number (TIN)
- Board resolution
- Identification of Ultimate Beneficial Owners (UBOs)

7.4 Beneficial Ownership

All beneficial owners must be identified and verified.

7.5 Simplified Due Diligence (SDD)

Applied to low-risk customers with restricted account functionality.

7.6 Enhanced Due Diligence (EDD)

Applied to:

- High-risk customers
- Politically Exposed Persons (PEPs)
- High-value or cross-border transactions
- Crypto-related high-risk activity

Includes:

- Source of wealth and funds verification
- Senior management approval
- Increased monitoring

7.7 Ongoing Due Diligence

Customer profiles are continuously reviewed and updated based on:

- Transaction behavior
 - Risk triggers
 - Regulatory requirements
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8. Politically Exposed Persons (PEPs)

Jaxopay applies strict controls to PEPs:

- Identification of domestic and foreign PEPs, family members, and associates
- Mandatory senior management approval
- Enhanced monitoring and risk classification
- Continuous review of source of funds and activity

9. Sanctions Screening

Jaxopay conducts **real-time screening** against:

- UN Sanctions Lists
- OFAC Lists
- EU Sanctions Lists
- Local regulatory watchlists

Matches result in:

- Immediate restriction
 - Investigation
 - Regulatory reporting
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10. Transaction Monitoring

Jaxopay uses **automated and manual monitoring systems**, including AI-based tools.

Red Flags Include:

- Structuring or smurfing
- Sudden changes in transaction patterns
- High-risk cross-border flows
- Use of multiple accounts
- Circular fund movements
- Unjustified crypto conversions

Flagged transactions may result in:

- Account restrictions
 - Additional due diligence
 - Reporting to authorities
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11. Reporting Obligations

11.1 Suspicious Transaction Reports (STRs)

JAXOPAY Will:

- Flag suspicious transactions.
- Freeze or delay transactions where necessary.
- Filed report with NFIU, EFCC within required timelines.
- Tipping-off is strictly prohibited

11.2 Currency Transaction Reports (CTRs)

- Filed for threshold transactions:
 - NGN 5 million (individuals)
 - NGN 10 million (corporates)

11.3 Terrorism & Proliferation Reports

- Immediate reporting and account freezing where applicable
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12. Countering Proliferation Financing (CPF)

Jaxopay prevents financing related to weapons proliferation by:

- Screening against UN and global non-proliferation lists
 - Freezing assets of designated entities
 - Reporting to relevant authorities
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13. Crypto Compliance

Given Jaxopay's crypto services:

- Blockchain analytics tools are used for wallet screening
- Detection of links to:
 - Mixers/tumblers
 - Darknet markets
 - Sanctioned addresses

Travel Rule Compliance

- Collection and sharing of originator and beneficiary information

High-Risk Activity

- Transactions from suspicious sources are restricted or rejected
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14. Record Keeping

Jaxopay maintains records for **at least five (5) years**, including:

- KYC and CDD documentation
- Transaction records
- STR/CTR reports
- Audit logs and monitoring data

Records are:

- Securely stored
 - Easily retrievable
 - Protected by encryption and access controls
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15. Third-Party Reliance

Jaxopay may rely on third parties for CDD where:

- They meet equivalent AML standards
- Agreements ensure data access and compliance

Jaxopay retains **full responsibility**.

16. Training and Awareness

- Mandatory AML/CFT training for all staff
 - Annual refresher programs
 - Specialized training for high-risk roles
 - Training records maintained for audit
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17. Internal Controls

Jaxopay adopts a **Three Lines of Defence Model**:

1. **Operations** – onboarding and transaction handling
2. **Compliance** – monitoring and investigations
3. **Audit** – independent testing and review

All control gaps are tracked and remediated.

18. Data Protection and Confidentiality

- Compliance with Local and International Data Protection Act.
 - Customer data used strictly for lawful purposes
 - Access restricted and monitored
 - Secure sharing with regulators only when required
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19. Sanctions, Freezing & Restrictions

Jaxopay will:

- Freeze assets of sanctioned individuals/entities
 - Block transactions linked to illegal activity
 - Suspend accounts pending investigation
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20. Disciplinary Measures

Violations may result in:

- Employee termination or legal action.
 - Customer account closure or blacklisting.
 - Reporting to Regulatory bodies.
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21. Policy Review

This Policy is reviewed:

- Annually, or
- Upon regulatory or operational

changes Updates are approved by the
Board.

22. Acknowledgment.

By using JAXOPAY, you acknowledge that you have read, understood, and agree to comply with this AML/CFT Policy.

For questions or concerns regarding this policy, please contact:

JAXOPAY Compliance Team;
Email: compliance@jaxopay.com

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